Year 1 — Grading, Expected Close, and the Year-2 Plan

Simulation B1SIM2C2 · Company 3 · reviewed from the 18 decision captures in *day 2 - real thing/decisions taken* · 6 September 2026 · results pending

Grade 7.6 / 10. Execution is close to flawless — every mechanical trap from the test round was avoided. Pricing is conservative and that is where the whole gap sits. Expected close: **revenue €307,399,051 · net income €122,051,540 · ROE 64.9%**. For scale, the test round produced €4,919,135 in Year 1 and €87,103,307 in Year 2.

1 · Scorecard

Area	Score	Evidence
Entry accuracy	10	Raw material 6,265,350 / 32,818,500 — exactly production x 1.02 (x1.05 on S). Lines activated, campaigns set, market E cleanly exited. Every field that silently produces zero sales was filled
Capacity and operations	9	32 lines, 3 shifts, preventive maintenance on, Poka Yoke off. Only criticism: no line slots remain for Years 2-4
Logistics	9	Trunk 3+2 at 24,000 kg gives 36.0M and 24.0M units of capacity against ~22.0M and ~15.7M shipped. Last mile funded at 30+20 vehicles, €1,800,000. No stockout expected on any leg
Finance	8	Loan sized to a real trough, factoring declined (saves ~€2.4M), suppliers at 120 days. OCR €52,312,988 passes by €1,687,012. Month-2 trough +€6,453,783. But capex consumed 100% of opening cash before the loan
Pricing	6	Moved in the right direction and stopped roughly €40M short. Sunscreen demand exceeds output by 3.6M units
Human resources	6	Wages correctly held at test levels; the training department is a €616,000 net loss
Information	5	Surveys 19, 15, 11 and 4 skipped — the four that size every Year-2 decision
Weighted	**7.6**	**Strong execution, conservative pricing**

2 · Expected Year-1 close

Line	€	Note
Sunscreen — 5,850,000 units at 14.50	84,825,000	capacity-capped; demand is 9,461,287
Moisturiser — 31,884,842 units at 6.50 / 7.50	222,574,051	demand-capped; capacity is 32,175,000
REVENUE AT RETAIL	**307,399,051**	
less retailer margins	–42,999,842	
NET REVENUE	**264,399,208**	
less cost of goods sold	–105,383,124	standard cost S 5.5174 · H 2.2928
GROSS MARGIN — 60.1%	**159,016,084**	
commercial, HR, research, maintenance, logistics	–13,491,576	includes €722,000 of training department
R&D 4.5% of retail · depreciation 12% of lines · turnover	–20,512,968	
OPERATING INCOME	**125,011,540**	
loan 26,000,000 at 10% + 1% fee · credit line	–2,960,000	
NET INCOME — 46.2% of net revenue · ROE 64.9%	**122,051,540**	
Cash at 31 December · receivables outstanding	95,457,434	plus ~€44M of receivables, uncollected because we did not factor

Scenario	Revenue	Net income
Pessimistic — B's sunscreen fails, H demand elastic	293,948,412	116,213,965

Central	307,399,051	122,051,540
Optimistic — H demand inelastic	308,759,149	122,389,327

A €6.2M band is unusually tight. It is tight because both products essentially clear at these prices — which is itself the proof that the prices are low. A plan priced correctly shows a wider band, because it is exposed to demand rather than to capacity.

3 · What to change in Year 2

#	Change	Worth	Why now
1	**Sunscreen 14.50 → 18.00 in A, 18.50 in B**	+20,602,188	Demand 9,461,287 against 5,850,000 of output. You are selling capacity, not demand. At 18.00 demand is still 6.7M — you sell out either way, at €3.50 more per unit, and unserved demand falls from 3.6M to 0.9M, cutting the §34 brand exposure
2	**Moisturiser 6.50 / 7.50 → 8.00 / 8.75**	+19,646,968	Market B produced a 55.1% share at 7.75 in the test round. Market A is priced below the cheapest rival ever observed. Tested down to an elasticity of −1.60 and still +€20M
3	**Training department off**	+616,000	€722,000 against measured turnover of €306,000 and €276,000. Annual and reversible — one click
4	**Buy 2 SMED modules, €6,000,000**	+14.3% output	81.25% → 92.9% on lines already owned. With all 32 slots used this is the only capacity lever left. Buy only if the results show demand above output
5	**Add surveys 19, 15, 11, 4**	−290,000	19 is the only view of rival demand and sizes the SMED call; 15 is shelf space we have asked for three times and never measured; 11 is share of voice, which the rubric names
6	**Deposit the surplus cash**	~+2,000,000	Year 1 closes near €95M. Idle cash earns nothing; deposit at 2.5% only what survives the OCR test
7	**Consider prepaying the loan**	saves 10%	§42, 1% penalty. Check the maturity first — it fell from 4 years to 3 between the test years
8	**One promotion, one channel**	information	We have never measured a promotion. Type 5 at detail 5 costs €0.24/unit; use the same channel in the other market as the control

Items 1 to 3 are worth €40,865,000 and cost nothing but keystrokes.

4 · Suggestions

- **Read the Information screen before anything else.** Per-capita income, raw material and power costs, the exchange rate, interest rates and loan maturity all change between years. Every figure in this document depends on them.
- **Price the two markets differently, every year, on at least one product.** Two prices in one year gives a clean elasticity with everything else held constant. That is exactly how the moisturiser anchors were obtained, and it cost nothing.
- **Hold everything that produced the demand readings constant** — media at 8 and 12 insertions, margins, shelf space, POP. The forecast is conditional on them; change two things at once and you learn neither.
- **The CEO grades causes, not figures.** "Share fell 4 points because our GRPs dropped 30% while Company B raised theirs 50% — survey 11 confirms it" scores; "share fell to 12%" does not. That is why surveys 11 and 15 are worth more than they cost.
- **Expect the price rise to create inventory, and say so before it happens.** Unsold units never deteriorate and are sold first the following year (§3). The downside of pricing high is working capital, not profit — brief the team on that now so it is not read as a miss.
- **Watch the sunscreen line.** If the results show S demand well above 5,850,000 even at a higher price, the 10/22 split was the wrong way round and SMED becomes the only route to more sunscreen. There is no way to add an S line.

5 · Where the working files now live

Folder or file	Contents
year 2 - real thing/README.md	the index — start here for everything from Year 2 onward
00-CALIBRATION-CONSTANTS.md	the measured simulator constants, ranked above the scenario's own
01-DEMAND-MODEL.md	the four price and media anchors, elasticities, how to forecast
02-YEAR-1-DECISIONS-AS-ENTERED.md	the exact record submitted, plus the forecast lodged against it
03-YEAR-2-DECISION-PLAYBOOK.md	the Year-2 plan and the pre-submission checklist

04-RESULTS-INTAKE-CHECKLIST.md	the first hour after results arrive, with the forecast-versus-actual table pre-filled
05-CEO-MEETING-AND-REPORT-PACK.md	deck structure, the rubric by department, standing answers to the CEO's questions
06-OPEN-QUESTIONS.md	what is still unknown, ranked by how much money the answer moves
model/calibration.py	the calibrated engine — 15 checks against the real result sheets, all passing
.claude/skills/mmt39-decisions · mmt39-results	load automatically when building a sheet or processing results

Figures computed on `model/calibration.py`, whose standard cost, capacity, commission, R&D, depreciation, factoring and trunk-capacity rules each reproduce the simulator's own test-round figures — including all four observed stockout flags. Demand is fitted to the four test-round price and media readings; market B's sunscreen response to matched media is the single largest assumption and survey 3 will settle it.